

and perhaps with publications in general—the cheaper the paper the more valuable the information.) The balance sheet lists the assets and then the liabilities. That’s critical to me.

In the top column marked Current Assets, I notice that the company has \$5.672 billion in cash and cash items, plus \$4.424 billion in marketable securities. Adding these two items together, I get the company’s current overall-cash position, which I round off to \$10.1 billion. Comparing the 1987 cash to the 1986 cash in the right-hand column, I see that Ford is socking away more and more cash. This is a sure sign of prosperity.

Then I go to the other half of the balance sheet, down to the entry that says “long-term debt.” Here I see that the 1987 long-term debt is \$1.75 billion, considerably reduced from last year’s long-term debt. Debt reduction is another sign of prosperity. When cash increases relative to debt, it’s an improving balance sheet. When it’s the other way around, it’s a deteriorating balance sheet.

Subtracting the long-term debt from the cash, I arrive at \$8.35 billion, Ford’s “net cash” position. The cash and cash assets alone exceed the debt by \$8.35 billion. When cash exceeds debt it’s very favorable. No matter what happens, Ford isn’t about to go out of business.

(You may have noticed Ford’s short-term debt of \$1.8 billion. I ignore short-term debt in my calculations. The purists can fret all they want about this, but why complicate matters unnecessarily? I simply assume that the company’s other assets [inventories and so forth] are valuable enough to cover the short-term debt, and I leave it at that.)